

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 829

BY HEALTH AND WELFARE COMMITTEE

AN ACT

RELATING TO PROMPT PAYMENT OF CLAIMS; AMENDING SECTION 41-5601, IDAHO CODE, TO DEFINE TERMS; AMENDING SECTION 41-5602, IDAHO CODE, TO REVISE PROVISIONS REGARDING PROMPT PAYMENT OF CLAIMS; AMENDING SECTION 41-5603, IDAHO CODE, TO REVISE PROVISIONS REGARDING INTEREST PAYMENTS; AMENDING SECTION 41-5605, IDAHO CODE, TO REVISE PROVISIONS REGARDING EXCEPTIONS; AMENDING SECTION 41-5606, IDAHO CODE, TO REVISE PROVISIONS REGARDING PENALTIES; AMENDING CHAPTER 56, TITLE 41, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 41-5607, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING CIVIL ACTIONS AND PROHIBITED RETALIATORY CONDUCT BY INSURERS; AMENDING CHAPTER 56, TITLE 41, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 41-5608, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING CONTRACTING STANDARDS AND APPLICABILITY; AMENDING CHAPTER 56, TITLE 41, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 41-5609, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING TRANSPARENCY REQUIREMENTS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 41-5601, Idaho Code, be, and the same is hereby amended to read as follows:

41-5601. DEFINITIONS. As used in this chapter:

(1) "Beneficiary" means a policyholder, subscriber, member, employer or other person who is eligible for benefits under a contract providing hospital, surgical, or medical expense coverage or a managed care organization policy or agreement under which a third party payer agrees to reimburse for covered health care services rendered to beneficiaries in accordance with the benefits contract.

(2) "Claim" means a request from a beneficiary or a practitioner or facility for payment for covered health care services submitted to an insurer. A claim is presumed to be a complete claim unless the insurer provides timely notice in accordance with the provisions of section 41-5602(4), Idaho Code.

(3) (a) "Complete claim" means a claim that:

(i) Has no material defect or impropriety;

(ii) Includes all information reasonably required by the insurer to adjudicate the claim;

(iii) Requires no additional information from a third party that is reasonably necessary to adjudicate the claim; and

(iv) Complies with the insurer's published claim-submission standards in effect at the time the claim is submitted.

(b) A claim shall not fail to meet the definition of complete claim due to minor clerical or technical errors or because an insurer requests information or documentation that is not reasonably necessary to adjudicate the claim.

1 ~~(2)~~ (4) "Date of payment" means the date the payment is sent as indi-
 2 cated by the mail stamp on the envelope, by the insurer to the practitioner or
 3 facility or to the beneficiary in the event there is not a contract for direct
 4 payment by the insurer to the practitioner or facility, or, in the event of
 5 a wire or other electronic funds transfer, upon acceptance by the insurer's
 6 bank of a payment order.

7 ~~(3)~~ (5) "Department" means the department of insurance.

8 ~~(4)~~ (6) "Director" means the director of the department of insurance.

9 ~~(5)~~ (7) "Electronic claim" means a claim ~~that is transmitted through~~
 10 ~~the use of electronic media, which includes the internet, extranet, leased~~
 11 ~~lines, dial-up lines, private networks, and those transmissions that are~~
 12 ~~physically moved from one (1) location to another using magnetic tape, disk~~
 13 ~~or compact disk media. The claim shall contain the proper format and code~~
 14 ~~sets in accordance with the applicable implementation specifications under~~
 15 ~~45 CFR 160 et seq., and 45 CFR 162 et seq submitted to a health insurer through~~
 16 secure electronic data exchange in a standardized, HIPAA-compliant format,
 17 including the ASC X12N 837 transaction, and that contains all data necessary
 18 for adjudication. Electronic claims shall not include paper, faxed, or
 19 scanned submissions.

20 ~~(6)~~ (8) "Insurer" means any insurer that sells hospital, medical, long-
 21 term care, or vision insurance policies or certificates and managed care or-
 22 ganizations. For the purpose of this chapter only, "insurer" also includes a
 23 third party administrator who makes payments to beneficiaries, practition-
 24 ers or facilities on behalf of an insurer and a hospital or professional ser-
 25 vice corporation that provides hospital, medical, long-term care or vision
 26 health care services.

27 ~~(7)~~ (9) "Practitioner or facility" means any physician, hospital or
 28 other person or facility licensed or otherwise authorized to furnish health
 29 care services.

30 ~~(8)~~ (10) "Receipt of claim" means the date the claim is actually re-
 31 ceived by the insurer from the practitioner or facility or the beneficiary.

32 ~~(9)~~ (11) "Submission of claim" means the date the claim is sent as indi-
 33 cated by the mail stamp on the envelope, by the beneficiary, practitioner or
 34 facility, to the insurer or the date an electronic claim is transmitted to an
 35 insurer.

36 SECTION 2. That Section 41-5602, Idaho Code, be, and the same is hereby
 37 amended to read as follows:

38 41-5602. PROMPT PAYMENT OF CLAIMS. (1) Except as otherwise specifi-
 39 cally provided in this chapter, an insurer shall process a claim for payment
 40 for health care services rendered by a practitioner or facility to a benefi-
 41 ciary in accordance with this section.

42 (2) ~~If Except as provided in subsection (4) of this section, if a bene-~~
 43 ~~ficiary, practitioner or facility submits an electronic claim to an insurer~~
 44 ~~within thirty (30) days of the date on which service was delivered, an, the~~
 45 ~~insurer shall pay or deny the claim not later than thirty (30) days after re-~~
 46 ~~ceipt of the claim.~~

47 (3) ~~If Except as provided in subsection (4) of this section, if a ben-~~
 48 ~~eficiary, practitioner or facility submits a paper claim for payment to an~~
 49 ~~insurer within forty-five (45) days of the date on which service was deliv-~~

~~ered, an,~~ the insurer shall pay or deny the claim not later than forty-five (45) days after receipt of the claim.

(4) If an insurer denies ~~the a~~ claim or needs additional information to process ~~the a~~ claim, the insurer shall notify the practitioner or facility and the beneficiary in writing within thirty (30) days of receipt of an electronic claim or within forty-five (45) days of receipt of a paper claim. ~~The notice shall state why the insurer denied the claim.~~ Such notice shall specify all known deficiencies reasonably identifiable at the time of notice, including all defects, omissions, or additional information and supporting documentation required. Every effort shall be made to inform the beneficiary, practitioner, or facility of any necessary information in order to adjudicate the claim. An insurer shall make a good faith effort to consolidate all requests for information to the extent practicable and shall avoid making serial requests for information in violation of subsection (7) of this section. Upon receipt of the requested documentation, the insurer shall have twenty-one (21) days to pay the claim, deny the claim, or, if necessary, request further documentation. Upon receipt of the further requested documentation, the insurer shall have an additional twenty-one (21) days to either adjudicate and pay or deny the claim. If after this period, the insurer has still not paid or denied the claim, the beneficiary, practitioner, or facility shall have the right to file a complaint with the department of insurance and begin charging interest on the claim pursuant to the provisions of section 41-5603, Idaho Code.

(5) If the claim was denied because more information was required to process the claim, the notice shall specifically describe all information and supporting documentation needed to evaluate the claim for processing. ~~If the practitioner or facility submits the information and documentation identified by the insurer within thirty (30) days of receipt of the written notice, the insurer shall process and pay the claim within thirty (30) days of receipt of the additional information or, if appropriate, deny the claim.~~ An insurer shall make a good faith effort to consolidate all requests for information to the extent practicable and shall avoid making serial requests for information in violation of subsection (7) of this section.

(6) An insurer may request medical records or additional documentation only when such information is reasonably necessary to adjudicate a claim, investigate fraud, verify medical necessity, coordinate benefits, or comply with applicable law.

(7) An insurer shall not request information or documentation for the primary purpose of delaying payment, resetting statutory time frames, or discouraging submission of claims.

(8) A practitioner or facility shall submit claims in good faith, within applicable contractual or statutory timely filing requirements, and using reasonable diligence to include information necessary for adjudication. Failure to submit a claim in good faith or with reasonable diligence shall not relieve an insurer of its obligations under this chapter unless such failure materially prevents the insurer from adjudicating the claim and the insurer has complied with the notice requirements of subsection (4) of this section.

~~(6)~~ (9) Any claim submitted pursuant to this chapter shall use the current procedural terminology (CPT) code in effect, as published by the Ameri-

can medical association, the international classification of diseases (ICD) code in effect, as published by the United States department of health and human services, or the healthcare common procedural coding system (HCPCS) code in effect, as published by the United States centers for medicare and medicaid services (CMS).

~~(7)~~ (10) This chapter shall not apply to claims submitted under policies or certificates of insurance for specific disease, hospital confinement indemnity, accident-only, credit, medicare supplement, disability income insurance, student health benefits only coverage issued as a supplement to liability insurance, worker's compensation or similar insurance, automobile medical payment insurance or nonrenewable short-term coverage issued for a period of twelve (12) months or less.

(11) For the purposes of this chapter, a third-party administrator shall be subject to the same provisions that apply to the insurer, practitioner, or facility that the third-party administrator has entered into a written agreement with.

SECTION 3. That Section 41-5603, Idaho Code, be, and the same is hereby amended to read as follows:

41-5603. INTEREST PAYMENTS.

(1) (a) An insurer that fails to pay, request additional information or documentation, or deny a claim from a beneficiary, practitioner or facility within the time periods established in this chapter shall pay interest at the contract statutory rate pursuant to section 28-22-104, Idaho Code, on the unpaid amount of a claim that is determined to be due and owing. The interest shall accrue from the date payment was due, pursuant to the provisions of this chapter, until the claim is paid. Payment of any interest amount of less than four dollars (\$4.00) shall not be required. Insurers may add any interest due to a future payment to the beneficiary, practitioner or facility shall be required to pay interest upon payment of the claim if the director, after receiving a complaint regarding noncompliance with the provisions of this chapter, determines after investigating and reviewing the complaint that:

(i) The provider has acted in good faith and attempted to provide all information requested by the insurer in a timely manner; and

(ii) The insurer has not acted in good faith and has not been forthcoming with all documentation necessary to pay or deny the claim.

(b) Interest shall begin accruing from the date a complaint is filed with the department.

(2) Interest shall accrue at the following compounding annual rates:

(a) Ten percent (10%) per annum for the first one hundred eighty (180) days after the payment deadline; and

(b) Fifteen percent (15%) per annum for any period after the initial one hundred eighty (180) days following the payment deadline.

(3) Interest owed shall be in addition to the claim amount and may not be offset against future payments.

SECTION 4. That Section 41-5605, Idaho Code, be, and the same is hereby amended to read as follows:

1 41-5605. EXCEPTIONS. (1) The time periods set forth in section
 2 41-5602, Idaho Code, shall not apply to claims that the insurer reasonably
 3 believes involve fraud or misrepresentation by the practitioner or facility
 4 or the beneficiary or to instances where the insurer has not been provided
 5 the information necessary to evaluate the claim after notice has been given
 6 requesting additional information by the insurer as required by section
 7 41-5602(5), Idaho Code.

8 (2) The time periods set forth in section 41-5602, Idaho Code, shall
 9 not apply to claims that the insurer reasonably believes require medical
 10 records, including accident reports, for the purpose of investigating
 11 whether a claim is valid for subrogation, or the coordination of benefits
 12 payable by the insurer with benefits payable by another insurer or payable
 13 under federal or state law.

14 ~~(3) An insurer is not required to comply with the time periods set forth~~
 15 ~~in section 41-5602, Idaho Code, if the insurer is in compliance with a con-~~
 16 ~~tract with the practitioner or facility which specifies different payment~~
 17 ~~requirements. Payments made within the time periods set forth in section~~
 18 ~~41-5602, Idaho Code, for the purpose of this chapter, shall be deemed to be~~
 19 ~~made in a reasonable and timely manner.~~

20 ~~(4)~~ (3) An insurer is not required to comply with the periods set forth
 21 in section 41-5602, Idaho Code, if the fee or premium entitling a beneficiary
 22 to insurance benefits has not been paid in full.

23 ~~(5)~~ (4) An insurer is not required to comply with the time periods set
 24 forth in section 41-5602, Idaho Code, if failure to comply is due to an act of
 25 God, ~~bankruptcy~~, an act of a governmental authority responding to an act of
 26 God or emergency or the result of a strike, walkout or other labor dispute, or
 27 act of terrorism.

28 (5) The provisions of this chapter shall not apply to a self-funded
 29 plan, including an employee welfare benefit plan that is self-funded and
 30 governed by the federal employee retirement income security act of 1974,
 31 except to the extent that such plan is insured by an insurer subject to the
 32 jurisdiction of this state.

33 SECTION 5. That Section 41-5606, Idaho Code, be, and the same is hereby
 34 amended to read as follows:

35 41-5606. PENALTIES. (1) The director shall enforce the provisions of
 36 this chapter and shall review and, if appropriate, investigate complaints
 37 received by the department related to noncompliance with the provisions of
 38 this chapter.

39 (2) If the director determines an insurer has violated the provisions
 40 of this chapter, the director may impose an administrative fine not to exceed
 41 ~~five thousand dollars (\$5,000) based upon an enforcement action.:~~

42 (a) Five thousand dollars (\$5,000); or

43 (b) Ten thousand dollars (\$10,000) for a second or subsequent violation
 44 if such violation occurs within thirty-six (36) months of the insurer's
 45 most recent violation.

46 (3) ~~The director shall not~~ may suspend or revoke an insurer's certifi-
 47 cate of authority for repeated or persistent violations of this chapter.

48 (4) ~~No administrative penalty shall be imposed against an insurer un-~~
 49 ~~der this chapter or any other provision of law for failure to comply with~~

~~this chapter if, in the calendar year it has paid ninety-five percent (95%) or more of all claims subject to this chapter to or on behalf of beneficiaries within the time periods set forth in section 41-5602, Idaho Code Prior to the imposition of any administrative fine, suspension, or revocation, an insurer shall be provided notice and an opportunity for a hearing pursuant to the provisions of chapter 3, title 41, Idaho Code.~~

~~(5) This section shall not create a private cause of action by or on behalf of a beneficiary or practitioner or facility against an insurer.~~

SECTION 6. That Chapter 56, Title 41, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 41-5607, Idaho Code, and to read as follows:

41-5607. CIVIL ACTIONS -- PROHIBITED RETALIATORY CONDUCT BY INSURERS. (1) A practitioner or facility may commence a civil action in a court of competent jurisdiction against an insurer for violations of the provisions of this chapter. If a practitioner or facility proves that an insurer violated the provisions of this chapter, such practitioner or facility is entitled to recover:

- (a) Injunctive relief;
- (b) Actual damages;
- (c) Accrued interest; and
- (d) Reasonable costs and attorney's fees.

(2) (a) An insurer shall not retaliate against a practitioner or facility for the exercise of rights pursuant to this chapter.

(b) Prohibited retaliatory actions include reducing reimbursement, altering network status, increasing administrative burdens, delaying credentialing, modifying utilization criteria, or any other conduct reasonably interpretable as dissuading a practitioner or facility from exercising statutory rights.

(c) Retaliation shall constitute an unfair claim-settlement practice.

SECTION 7. That Chapter 56, Title 41, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 41-5608, Idaho Code, and to read as follows:

41-5608. CONTRACTING STANDARDS -- APPLICABILITY TO EXISTING AND FUTURE CONTRACTS.

(1) (a) All provider contracts, regardless of the date of execution of such contract, shall comply with the provisions of this chapter for claims submitted on or after July 1, 2026.

(b) An insurer shall not require renegotiation of unrelated contract terms as a condition of implementing the provisions of this section.

(2) No contract executed in this state may waive the provisions of this chapter.

SECTION 8. That Chapter 56, Title 41, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 41-5609, Idaho Code, and to read as follows:

41-5609. TRANSPARENCY REQUIREMENTS.

1 (1) (a) An insurer that uses automated decision tools, algorithms, ar-
2 tificial intelligence, or similar technologies to assist with claims
3 intake, review, adjudication, payment determination, or denial, par-
4 tial denial, or other adverse payment determination shall disclose, in
5 a standardized manner, whether such tools materially assisted in the
6 determination of a claim submitted under this chapter.

7 (b) Disclosure pursuant to this subsection shall be limited to the fact
8 of use of such tools and the general function for which they were used
9 and shall not require disclosure of proprietary systems, algorithms,
10 prompts, models, workflows, thresholds, scoring criteria, or trade se-
11 crets.

12 (c) The use of automated decision tools, algorithms, artificial in-
13 telligence, or similar technologies shall not relieve an insurer of re-
14 sponsibility for the accuracy, timeliness, and statutory compliance of
15 any claim determination made under this chapter or excuse noncompliance
16 with any provision of this chapter.

17 (d) A disclosure made pursuant to this subsection shall not, by itself:

18 (i) Constitute evidence of an improper claims practice;

19 (ii) Create a presumption that a claim determination was incor-
20 rect, arbitrary, or unlawful;

21 (iii) Extend or toll any statutory time frames applicable under
22 this chapter;

23 (iv) Create a right to appeal; or

24 (v) Require additional review, reconsideration, or appeal beyond
25 those otherwise provided by law.

26 (2) (a) A practitioner or facility that uses automated documentation
27 tools, coding assistance tools, artificial intelligence, or similar
28 technologies to assist with clinical dictation, medical record genera-
29 tion, or claim coding shall disclose, in a standardized manner, whether
30 such tools materially assisted in the preparation of a claim submitted
31 under this chapter.

32 (b) Disclosure pursuant to this subsection shall be limited to the fact
33 of use of such tools and shall not require disclosure of proprietary
34 systems, algorithms, prompts, models, workflows, or clinical deci-
35 sion-making processes.

36 (c) Use of automated documentation tools, coding assistance tools,
37 artificial intelligence, or similar technologies shall not relieve a
38 practitioner or facility of responsibility for the accuracy, complete-
39 ness, and truthfulness of information submitted in a claim.

40 (d) An insurer shall not impose additional claim submission require-
41 ments, prepayment review, audits, or utilization management controls
42 solely on the basis that a practitioner or facility disclosed use of au-
43 tomatized documentation tools, coding assistance tools, artificial in-
44 telligence, or similar technologies.

45 (e) A disclosure made pursuant to this subsection shall not, by itself:

46 (i) Constitute a material defect or impropriety in a claim;

47 (ii) Create a presumption of fraud, misrepresentation, or im-
48 proper billing;

49 (iii) Justify denial of a claim, delay of payment, or extension of
50 statutory time frames under this chapter; or

1 (iv) Permit additional documentation requests absent a specific,
2 articulated inconsistency reasonably necessary to adjudicate the
3 claim.

4 SECTION 9. An emergency existing therefor, which emergency is hereby
5 declared to exist, this act shall be in full force and effect on and after
6 July 1, 2026.